

AXTI pitch deck

PITCH — AXTI — PROPOSED VERDICT

REJECT ENTRY NOW — stay flat; reopen the case only at or below \$64.25 (the price management just sold stock at) or on a filed permit-grant 8-K — PROPOSED, PENDING ADJUDICATION.

What we believe

AXT makes semiconductor substrates — chiefly indium phosphide (InP) wafers, the raw material for the optical transceivers that connect AI data centers. Essentially all of its production is in China, through a subsidiary (Tongmei) of which outside investors own about 14.5%. The business is genuinely inflecting: record InP demand, Chinese export-permit approvals speeding up, and Lumentum — a major US optics maker — has paid roughly \$87 million in cash deposits to reserve InP capacity through 2031. The CFO stated on the Q2 call that about \$66 million of Q3 revenue is already covered by granted permits or needs no permit at all, with permit grants on top of that being pure upside.

But we believe **none of this is a reason to buy at today's price**. The stock has risen roughly 25–40x from its 52-week low and trades within about 10–15% of its all-time regular-session high. It is up ~121% just since July 29. At a pro-forma enterprise value of roughly \$3.7 billion, the market is paying about 14x annualized guided revenue and about 65x annualized guided GAAP earnings for a company whose entire manufacturing base sits inside China's export-control regime, whose China subsidiary leaks 14.5% of its value to minority holders, and whose management sold 9.84 million new shares (about 15% of the company) at ~\$64.25 net just weeks ago. The good news is real; it is also fully — arguably more than fully — in the price.

What the market believes

The market believes AXT is the pure-play bottleneck supplier for AI optics and is pricing near-perfection: continued permit flow, the Lumentum relationship treated as locked-in demand, and the ~\$130M/quarter InP trajectory extending. The name is crowded by every measure the court checked: fresh 13G institutional filings (July 27 and August 12), leveraged single-stock ETFs launched August 13, 19–30 million-share trading days, and an insider Form 144 sale filed on August 7 — the day the stock topped. This is the opposite of a neglected or dislocated situation. Critically, the court found **no fear was ever priced in**: the supposed 43% drawdown in the data pack turned out to be a data artifact (see below), so there is no discount to harvest.

Why we might have edge

- **We read the actual contracts.** The bull pitch called the Lumentum arrangement “the cohort’s only contractual revenue floor” with “shortfall and refund provisions.” The filed exhibit ([8-K](#)

[exhibit 99.3](#)) says the deposits are “shipment credits towards the purchase of products until exhausted” — a prepayment, not a take-or-pay floor, and the shortfall/refund language simply does not exist. The thesis fabricated it.

- **We decomposed the tape.** The pack’s “\$143.16 high → 43% drawdown” appears in no actual trading session (window high: \$90.39 on 08-10). The dislocation the bull case wanted to buy mostly never happened.
- **We caught the venue gap on the key number.** The \$66M “permit-covered” figure appears only on the earnings call — not in the 10-Q (including MD&A, confirmed by full read), not in the press release, and a full-text search of AXT’s entire SEC corpus for “permit-exempt” returns zero hits.
- **We have management’s own price mark:** they sold 15% of the company at ~\$64.25, about 21% below the current tape. That is the most honest valuation signal in the record.

Why it might be priced in

Symmetry requires saying it plainly: our “edge” here is mostly *negative* edge — knowing what not to pay. The bull’s core facts survived the court: record InP revenue is real, permits are flowing faster, the \$87M of Lumentum deposits are real cash skin in the game, and the blue bench established that the \$66M figure, while call-only, is a scripted CFO statement carrying securities-law liability — a real public representation, not a rumor. AXT’s press releases contain no guidance at all, so call-only forward disclosure is this company’s normal practice, not selective disclosure. And permit-grant 8-Ks are free upside options on top of a guide floor that assumes zero new permits. If the AI-optics buildout keeps compounding, today’s 14x sales could look ordinary in hindsight. Our claim is not that the story is false — it is that at ~10% off the all-time high, with the crowd fully aboard, we are being offered no compensation for China-jurisdiction risk, export-control risk, the 14.5% minority leakage, and 65x earnings.

What we checked ourselves

Claim	How checked	Found	Confirmed?
\$66M of Q3 revenue “already permitted or permit-exempt”	Full 10-Q read, Q2 press release, SEC full-text search, then the call transcript	Absent from every SEC filing and the PR; zero corpus-wide hits for “permit-exempt.” But verbatim and scripted from the CFO on the call, which carries legal liability. Red bench erred by calling it “no vetted venue” — overstated; also red hedged on MD&A truncation when blue’s full read settled it as absent.	Number is REAL but filing-unsupported; treat as call-only guidance
Lumentum deal = “contractual revenue floor” with “shortfall and refund provisions”	Filed 8-K exhibit 99.3 + 10-Q Note 20	Deposits are shipment credits until exhausted; no take-or-pay remedy; shortfall/refund language does not exist in either document. H1-26 had no customer over 10% of revenue. One nuance: the exhibit references a Lumentum “minimum annual	REFUTED — it is a prepaid capacity reservation, not a floor

Claim	How checked	Found	Confirmed?
		commitment” of InP, with no disclosed remedy if missed.	
Stock “crashed from \$143.16, down 43%”	Rebuilt daily bars from source data, anchor-verified against 07-29 close	No session ever traded \$143.16; window high \$90.39; stock is +121% since 07-29 and ~10–15% off its all-time session high	REFUTED — data artifact; no dislocation exists
Enterprise-value math (~17.6x annualized guide)	10-Q capital structure: 65,573,212 shares, \$748.9M cash+investments at 06-30, 14.5% minority interest	Red bench erred on arithmetic: it cited the \$600.1M net secondary proceeds but excluded them from EV. Pro-forma cash $\approx$ \$1.35B $\rightarrow$ EV $\approx$ \$3.7B $\approx$ 14x annualized guide, not 17.6x. Direction of the conclusion unchanged (~65x guided EPS).	CONFIRMED with correction
North America revenue $\approx$ 0 proves no US-retaliation risk	10-Q geographic note + customs bill-of-lading search	NA revenue \$368K (0.5% of H1) — but the growth story rides the US-destination channel that is exactly the still-pending permit class. Zero US-bound customs consignments found (weak evidence — air freight is a blind spot). The bull’s insulation fact is the bear’s growth gate.	Base fact CONFIRMED; inference unresolved
Crowding	13G filings, Form 144, ETF launches, volume	Fresh 13Gs, leveraged ETFs (08-13), insider 144 filed on the top-tick day (08-07), 19–30M-share days	CONFIRMED — crowded
Current price	IBKR live quote	Both benches were denied IBKR access this session. Pack shows \$77.45 (08-15 gateway); Yahoo 08-14 close \$81.64 — a 5% divergence neither bench resolved. Red bench erred by claiming the two matched.	UNRESOLVED — must pull a live quote before any order

Primary source for the capital-structure and deposit facts: the Q2 2026 10-Q,
https://www.sec.gov/Archives/edgar/data/0001051627/000143774926027677/axti20260630_10q.htm

PROPOSED ENTRY BANDS

Both benches converge on **no entry at any current price** — this is a valuation rejection, so per our response rules it gets a price gate, not a size cut. Reopen conditions, from the benches’ own math:

- **Reopen band #1 (price): tape at or below \$64.25** — the net price of management’s own July secondary offering, their revealed mark. Hitting it does **not** auto-buy; it triggers a fresh court on the then-current record. From the pack price of \$77.45 that is ~17% lower (\$81.64 Yahoo basis: ~21% lower).
- **Reopen trigger #2 (event): a filed 8-K announcing Chinese export-permit grants for US-destination InP** — this converts the call-only upside into filing-grade fact and would justify re-courting even above the price band.
- **Verification tripwire (not an entry): the Q3 10-Q** must show the ~\$43.5M Lumentum deposit installment (due ~2026-09-08) as a customer-deposit liability. If it doesn’t appear, the

deposit narrative is impaired — that grades the court, and would harden the reject.

- **Sizing:** none now. Any future entry size is set by the re-court, not this deck.
- **Catalyst dates:** next earnings ~**2026-10-29** — *unconfirmed* (derived from a data feed; no company announcement yet; last quarter the date was set by an 8-K about four weeks ahead, so expect confirmation around early October). Lumentum deposit installment ~**2026-09-08** (approximate, from the deposit schedule).
- **Housekeeping gate:** resolve the \$77.45-vs-\$81.64 price-source divergence with a live IBKR quote before acting on anything above.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 64.25 (deck-provisional: management's own July secondary net price — reopen-and-re-court band, not an auto-buy)
- filing watch: 8-K until 2027-02-11 (deck-provisional: Chinese export-permit grant for US-destination InP, or earnings-date announcement, would reopen the ca)
- dated pack AXTI|2026-09-08: AXTI: approximate Lumentum deposit installment (~\$43.5M) due (date confirmed=False)
- dated pack AXTI|2026-10-29: AXTI: Q3 2026 earnings (feed-derived, no company 8-K yet) (date confirmed=False)

What remains unverified

- **The live price itself** — IBKR was permission-denied to both benches; the 5% gap between the pack (\$77.45) and Yahoo (\$81.64) is unresolved.
- **Whether Lumentum's InP consumption is actually US-destination** (i.e., permit-gated) — plausible, never verified; the customs null is weak because air freight isn't covered.
- **The earnings date** (feed-derived, no company confirmation).
- **China plant capacity and expansion** (Kazuo site) — the satellite, thermal, and hiring-velocity checks were all unavailable this session; utilization claims are untested.
- **Whether the ~\$43.5M September deposit installment arrives** — checkable only at the Q3 10-Q.
- **Any US export-control exposure of Tongmei itself** (the inverse risk: a US listing action against the China subsidiary) — no tool covered it.

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